

STUDY GUIDE FOR



UNITED NATIONS OFFICE ON
DRUGS AND CRIME

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UNITED NATIONS OFFICE ON DRUGS AND CRIME (UNODC)

INTRODUCTION TO THE COMMITTEE

The United Nations Office on Drugs and Crime (UNODC) is a UN body dedicated to combating illicit drugs, transnational organized crime, corruption, terrorism, and other emerging security threats. Through international cooperation, policy development, research, and technical assistance, UNODC supports Member States in strengthening justice systems, preventing crime, and protecting communities. As criminal networks increasingly operate across borders and exploit new technologies, the committee provides a platform for delegates to develop effective, cooperative, and sustainable solutions to these complex global challenges.



STRUCTURE

The United Nations Office on Drugs and Crime (UNODC) operates under the broader UN system and works through international cooperation, policy development, research, and technical assistance. Its work is organized around key areas including drug control, crime prevention, criminal justice, corruption, terrorism, and transnational organized crime. UNODC collaborates with Member States, international organizations, and other stakeholders to develop legal frameworks, strengthen national institutions, and coordinate global responses to emerging security challenges.

MANDATE AND POWERS

UNODC supports Member States in addressing illicit drugs, transnational organized crime, corruption and terrorism-related issues through research, normative support, technical assistance and capacity-building. Its work links criminal justice, international cooperation and prevention.

INTRODUCTION TO THE AGENDA

The financing of terrorism and transnational organized crime poses a significant threat to international peace, security, and economic stability. Financial Intelligence Units (FIUs) play a crucial role in identifying and disrupting illicit financial flows by collecting, analyzing, and sharing financial intelligence related to suspicious transactions. This agenda focuses on strengthening cooperation between FIUs, improving information-sharing mechanisms, and enhancing national and international frameworks to prevent criminals and terrorist organizations from exploiting financial systems.

WHY FINANCIAL INTELLIGENCE IS CENTRAL

Criminal organizations need money to operate, move goods, corrupt officials and conceal proceeds. Terrorist organizations also require resources for recruitment, logistics and operations. Financial investigations can reveal networks that may be difficult to identify through traditional evidence alone.



KEY TERMINOLOGIES

- **Financial Intelligence Unit (FIU):** A national agency responsible for receiving, analyzing, and disseminating financial intelligence related to suspected money laundering and terrorist financing.
- **Terrorist Financing (TF):** The provision or collection of funds with the intention or knowledge that they will be used to support terrorism or terrorist acts.
- **Money Laundering (ML):** The process of concealing the illegal origins of criminal proceeds and making them appear legitimate.
- **Transnational Organized Crime (TOC):** Criminal activities carried out by organized groups that operate across national borders.
- **Suspicious Transaction Report (STR):** A report submitted by financial institutions when a transaction or activity is suspected to involve illicit funds.
- **Know Your Customer (KYC):** Procedures used by financial institutions to verify customers and assess potential financial risks.
- **Customer Due Diligence (CDD):** Measures taken to identify customers, understand their financial activities, and assess associated risks.
- **Beneficial Owner:** The individual who ultimately owns or controls a company, account, or financial asset, even if it is held through another person or entity.
- **Illicit Financial Flows (IFFs):** Money transferred across borders through illegal activities, such as corruption, trafficking, tax evasion, or terrorist financing.
- **Asset Freezing:** The legal restriction preventing individuals or entities from accessing, transferring, or disposing of their financial assets.
- **Financial Sanctions:** Restrictions imposed on individuals, organizations, or entities to limit or prohibit their access to financial resources.
- **Red Flag Indicators:** Warning signs or unusual patterns in financial activity that may indicate money laundering, terrorist financing, or other criminal activity.
- **Information Sharing:** The exchange of financial intelligence between FIUs, law-enforcement agencies, and international partners to identify and disrupt illicit networks.
- **Risk-Based Approach (RBA):** A strategy in which financial institutions and authorities allocate greater resources to areas presenting higher risks of financial crime.
- **Virtual Assets:** Digital representations of value, such as cryptocurrencies, that can be transferred or traded electronically and may be exploited for illicit financial activities.



HISTORY & LEGAL ARCHITECTURE

UNTOC – THE PALERMO CONVENTION

The UN Convention against Transnational Organized Crime, adopted in 2000, marked a major step in developing a common international legal framework for combating organized criminal groups and related offences. Its significance for financial intelligence is that organized crime is not only a problem of violence or illicit markets; criminal groups depend on the movement, concealment and integration of proceeds. Financial investigation therefore becomes a way of disrupting the economic infrastructure that sustains criminal activity.

UNTOC also illustrates why transnational crime cannot be addressed solely through domestic prosecution. Evidence, suspects, companies, assets and transactions may be distributed across several jurisdictions. Mutual legal assistance, extradition, international cooperation and information-sharing therefore form part of the broader architecture within which FIUs operate.

The United Nations Convention against Transnational Organized Crime was adopted by General Assembly resolution 55/25 in 2000, opened for signature in Palermo, Italy, and entered into force in 2003. It is the main international instrument addressing transnational organized crime and is supplemented by three protocols on trafficking in persons, migrant smuggling and firearms.

TERRORIST FINANCING CONVENTION

The International Convention for the Suppression of the Financing of Terrorism, adopted in 1999, was an important development because it directly addressed financing as a distinct component of counter-terrorism. The Convention defines “funds” broadly, including tangible and intangible assets and electronic or digital instruments, and requires States to establish measures for prevention, prosecution and international cooperation.

The historical significance is that international counter-terrorism policy increasingly moved beyond responding only to terrorist attacks toward disrupting the systems that make attacks possible. Financial intelligence became central to that approach because tracing money can reveal networks, facilitators and logistical relationships that may not be visible through traditional intelligence alone.

The 1999 International Convention for the Suppression of the Financing of Terrorism requires states to criminalize terrorist financing and provides a framework for identifying, freezing and seizing funds connected to terrorist activity.

SECURITY COUNCIL FRAMEWORK

The Security Council subsequently strengthened the international framework through binding measures addressing terrorist financing, targeted sanctions and the financing of terrorism as a threat to international peace and security. These measures interact with, rather than replace, treaty obligations and domestic law. For delegates, this distinction matters because a Council resolution can create or reinforce international obligations, while the detailed mechanics of FIU powers, criminal procedure and financial regulation usually remain matters of national implementation.



he historical development therefore runs from general international cooperation, to specific terrorist-financing obligations, to increasingly sophisticated financial-sanctions and information-sharing mechanisms. Modern financial intelligence policy sits at the intersection of these layers.

Security Council resolution 1373 (2001) requires states to prevent and suppress terrorist financing. Resolution 2462 (2019) specifically strengthens the Council's focus on disrupting terrorist financing and improving implementation. The 1267/1989/2253 sanctions regime adds targeted measures against listed ISIL/Al-Qaida-associated individuals and entities.

FATF AND EGMONT

FATF develops global AML/CFT standards; the Egmont Group facilitates cooperation among FIUs. These are important partners in understanding the operational ecosystem, but they are not UN bodies. Delegates should describe them accurately

CURRENT SITUATION

In July 2025, FATF published its Comprehensive Update on Terrorist Financing Risks, its most extensive global assessment to date, drawing on contributions from more than 80 jurisdictions to map how terrorist actors currently raise, move, store and spend funds. The report found that 69 per cent of jurisdictions assessed showed major or structural deficiencies in effectively investigating, prosecuting and convicting terrorist-financing cases, indicating that formal criminalization has outpaced actual enforcement capacity in much of the world.

FATF's ongoing plenary work continues to track how financing methods are evolving. Its June 2026 plenary approved a new publication on detecting and disrupting terrorist financing conducted through social media, instant messaging applications and streaming platforms, building directly on the 2025 comprehensive update, while an October 2025 plenary approved new guidance on asset recovery and an initial horizon-scan on the use of artificial intelligence and deepfakes in illicit finance. The Security Council's own Counter-Terrorism Committee, through CTED, has welcomed this work and connected it to its 2025 non-binding Algeria Guiding Principles on new and emerging financial technologies.

Delegates should treat this as an active, moving picture rather than a settled one: FATF's targeted-update reports on virtual-asset compliance are issued on a rolling basis, its list of jurisdictions under increased monitoring changes at every plenary, and the organization has continued to develop guidance on financial inclusion and non-profit-sector protection to guard against the over-broad application of AML/CFT measures. A resolution drafted for this committee should reflect where implementation gaps currently sit, not only the legal architecture that created the obligations in the first place.

MONEY LAUNDERING VS TERRORIST FINANCING

Feature	Money laundering	Terrorist financing
Primary objective	Conceal origin and enjoy illicit proceeds	Enable terrorist activity
Source of funds	Typically criminal proceeds	Can be lawful or unlawful
Scale	May involve large commercial flows	Can involve small, ordinary-looking transactions
Typical challenge	Tracing proceeds through layers and assets	Identifying purpose and network connections
Policy response	AML controls, tracing, seizure, confiscation	CFT controls, sanctions, intelligence and disruption

WHY THEY OVERLAP

A terrorist organization can generate money through criminal activity and then disguise it, or it can raise legitimate-looking donations and use them for prohibited purposes. The same financial infrastructure banks, remitters, cash couriers, companies, charities or digital assets may be abused for both.

SMALL-VALUE FINANCING

One of the most important misconceptions in terrorist-financing analysis is that every terrorist operation requires large international transfers. Some financing may involve relatively ordinary transactions, personal funds, small businesses, informal transfers, cash or legitimate income diverted to an illicit purpose. This creates a detection challenge because individual transactions may look ordinary when viewed in isolation.

The analytical value of an FIU is therefore often found in aggregation and context. A series of small transactions, common counterparties, unusual geographic links, rapid movement of funds or connections to known risk indicators can become meaningful when combined. This is why transaction monitoring should not be reduced to a simple search for unusually large amounts.

A major analytical mistake is assuming terrorist financing always involves large transfers. Small payments can matter when aggregated or connected to a network. FIUs therefore need contextual intelligence, not only transaction-size thresholds.



FIU STRUCTURE, POWERS & INDEPENDENCE

WHAT AN EFFECTIVE FIU NEEDS

- A clear legal mandate and access to relevant financial information.
- Operational independence from political interference.
- Secure systems for receiving and storing sensitive data.
- Analytical capacity: financial, legal, investigative and technological.
- Authority and procedures for disseminating intelligence to competent authorities.
- Domestic and international cooperation channels.
- Strong privacy, confidentiality and data-protection safeguards.
- Financial intelligence is highly sensitive. A resolution should address lawful access, purpose limitation, confidentiality, audit trails and safeguards against political misuse. Intelligence sharing should be tied to legitimate criminal-justice or national-security purposes and applicable law.

INSTITUTIONAL MODELS

- Administrative FIUs emphasize analysis and independence from investigators.
- Law-enforcement FIUs sit within police or investigative structures.
- Judicial FIUs are connected to prosecutorial or judicial authorities.
- Hybrid models combine functions while trying to preserve safeguards.

REPORTING ENTITIES, KYC & BENEFICIAL OWNERSHIP

WHO GENERATES FINANCIAL INTELLIGENCE?

Banks and other financial institutions are central, but modern AML/CFT systems may also involve money or value transfer services, certain professionals, casinos, virtual-asset service providers and other designated businesses depending on national law.

CUSTOMER DUE DILIGENCE

- Identify and verify customers.
- Understand the nature and purpose of the relationship.
- Identify beneficial ownership where required.
- Monitor activity according to risk.
- Keep records and report suspicious activity under applicable law.

BENEFICIAL OWNERSHIP AS A VULNERABILITY

Beneficial ownership concerns the natural person who ultimately owns or controls a legal entity, even when the formal shareholder or director is another company or nominee. Complex ownership structures can be legitimate, but they can also obscure who controls assets or receives the economic benefit of transactions. For financial intelligence, the challenge is to connect the legal entity appearing in a transaction to the real individuals behind it. This becomes particularly important when criminal networks use legitimate businesses, shell companies or intermediaries to mix illicit proceeds with lawful commercial activity. Effective beneficial-ownership systems therefore require more than collecting company names: authorities need accurate, accessible and verifiable information and mechanisms for sharing it lawfully. Shell companies, nominees and layered ownership structures can obscure who controls an asset or account. Transparent beneficial-ownership systems can help investigators connect financial flows to people, but they must also address data accuracy, access rights and privacy.

DE-RISKING PROBLEM

Financial institutions may respond to uncertainty by exiting whole categories of customers or regions. While this can reduce perceived risk for a bank, it can push legitimate users into less transparent channels. Delegates should promote risk-based controls rather than blanket exclusion.

METHODS & CASE STUDIES OF TERRORIST FINANCING

COMMON CHANNELS

- Cash couriers and cross-border movement of currency.
- Informal value-transfer systems and remittance networks.
- Abuse of charities or non-profit structures.
- Front companies and legitimate businesses.
- Fraud, extortion, kidnapping and trafficking-related proceeds.
- Online fundraising and digital payment tools.
- Trade-based mechanisms and false invoicing.
- Natural-resource or conflict-economy revenues in some settings.



CASE STUDY 1 - SMALL TRANSACTION, BIG NETWORK

A network can fragment financing across many ordinary transactions to avoid obvious red flags. The lesson is that FIUs should combine transaction data with network analysis, sanctions information, travel or law-enforcement intelligence and contextual indicators rather than relying on a single threshold.

CASE STUDY 2 – ABUSE OF CHARITABLE CHANNELS

The misuse of a legitimate non-profit structure illustrates the tension between security and civic space. Blanket restrictions can harm legitimate humanitarian work. A risk-based approach can focus on specific vulnerabilities, transparency, due diligence and proportionate oversight.

ORGANIZED CRIME & FINANCIAL ECOSYSTEMS

ORGANIZED CRIME AS AN ECONOMIC SYSTEM

Transnational organized crime is best understood as an ecosystem rather than a single transaction. A network may generate revenue through trafficking, fraud, smuggling, corruption or illegal markets, then place that money into accounts or businesses, move it across borders, convert it into assets and eventually integrate it into apparently legitimate economic activity. Different participants may specialize in different stages.

Financial intelligence can expose relationships that conventional criminal investigations miss. A company that appears unrelated to a trafficking network may repeatedly transfer funds to intermediaries; a property purchase may connect several individuals; or a trade transaction may conceal value transfer. “Following the money” therefore does not replace traditional investigation it can reveal the structure that investigators need to understand.

Transnational organized crime can involve trafficking, drug markets, migrant smuggling, firearms, cybercrime, environmental crime, counterfeit goods and corruption. Financial flows connect these activities to legitimate economies

WHY CRIMINAL NETWORKS USE LEGITIMATE BUSINESSES

- To conceal illicit proceeds.
- To move value across borders.
- To create invoices or contracts that look ordinary.
- To gain access to banking and trade infrastructure.
- To corrupt or influence public officials.



INTERNATIONAL COOPERATION: FIU-TO-FIU & CRIMINAL JUSTICE

MAIN COOPERATION CHANNELS

Financial flows move faster than legal processes. A suspect may live in one state, hold an account in another, use a company registered in a third and move funds through a fourth. No single FIU can see the entire picture.

Main cooperation channels include:

- FIU-to-FIU information exchange through appropriate secure channels.
- Mutual legal assistance for evidence requiring formal legal process.
- Extradition where legal conditions are satisfied.
- Joint investigations or coordinated investigative teams where domestic law permits.
- International organizations and regional networks for capacity-building.

GOAML

UNODC's goAML system illustrates how technology can support the institutional side of this process. The value of such a system is not simply that it stores suspicious transaction reports. A properly governed digital pipeline can standardize submissions, enable searching and analysis, help identify relationships and support dissemination of financial intelligence to competent authorities. The quality of the outcome still depends on the legal framework, reporting quality, analyst expertise, data protection and institutional independence. This distinction is especially important when considering AI and automated analytics. A system can prioritize patterns for human review, but automated risk scores are not themselves proof of criminality. Financial intelligence systems therefore require safeguards against discrimination, over-collection, unauthorized access and unjustified account restrictions.

UNODC's goAML is designed to support FIUs with secure reporting, case management, analysis and intelligence sharing. It can standardize the collection and handling of STRs and other financial reports and support analytical functions.



TECHNOLOGY, ANALYTICS & DIGITAL ASSETS

MODERN FINANCIAL INTELLIGENCE

Financial systems generate enormous amounts of data. Effective FIUs increasingly need automated triage, link analysis, anomaly detection and network visualization. Technology should prioritize analysts rather than replace legal judgment.

DIGITAL ASSETS

Virtual assets can create new channels for moving value, but the policy challenge is broader than banning technology. Delegates should consider licensing, customer due diligence, suspicious-activity reporting, blockchain analytics, international cooperation and proportionality.

FATF extended its AML/CFT standards to virtual assets and virtual asset service providers (VASPs) in 2019. Recommendation 16, commonly called the Travel Rule, requires VASPs to collect, verify and transmit identifying information about the originator and beneficiary of a transfer, generally above a threshold of roughly USD/EUR 1,000. This matters directly for FIU work because it determines whether financial intelligence actually reaches a national centre when value moves through a crypto-asset intermediary rather than a bank.

Implementation has lagged behind the standard. FATF's own targeted-update reviews of national compliance with Recommendation 15/INR.15 have repeatedly found that a large majority of assessed jurisdictions remain only partially or not compliant, and that gaps are especially pronounced for the Travel Rule itself. Continuing reviews also flag growing exposure through decentralised finance, peer-to-peer transfers, unhosted wallets and stablecoins, none of which route neatly through a single licensed exchange capable of filing a suspicious transaction report.

For delegates, the useful drafting question is therefore not whether virtual assets should be regulated in principle, but how a resolution closes specific implementation gaps: requiring licensing and registration of VASPs, supporting interoperable technical standards so Travel Rule data can actually be exchanged across borders, funding blockchain-analytics capacity for lower-resource FIUs, and ensuring virtual-asset activity is not left outside the reporting perimeter that applies to traditional finance.

Proportionality still matters. Overly broad restrictions on virtual-asset services can push activity toward unregulated or peer-to-peer channels that are harder to monitor than a licensed provider, echoing the de-risking dynamic already discussed for traditional banking. A resolution should pair stronger oversight with realistic implementation timelines for states that are still building basic AML/CFT institutions.



LEGAL FRAMEWORKS, SANCTIONS & ASSET RECOVERY

UNTOC and the Terrorist Financing Convention set the international obligations, but they are implemented through a wide range of differently designed national laws, and the specific mechanics of those laws determine what a resolution can realistically ask states to change. Delegates who can cite how a bloc's own legal system actually works are far more persuasive than delegates who only cite the treaty.

- **United States:** the Bank Secrecy Act (1970) established the core reporting framework, later strengthened by the USA PATRIOT Act (2001), whose Title III specifically targets international money laundering and terrorist financing, and further updated by the Anti-Money Laundering Act of 2020 (in force from January 2021), the first major modernization of the BSA in two decades.
- **United Kingdom:** the Proceeds of Crime Act 2002 (POCA) provides the core confiscation and civil-recovery powers, supplemented by the Money Laundering, Terrorist Financing and Transfer of Funds Regulations 2017 and the Sanctions and Anti-Money Laundering Act 2018 (royal assent 23 May 2018), which gave the UK independent sanctions-making power after leaving the EU framework.
- **European Union:** the Anti-Money Laundering Directives set minimum standards across all member states; the Fourth Directive (4AMLD, 2015) required compliance by June 2017, and the Fifth and Sixth Directives (5AMLD/6AMLD) took effect from January 2020, progressively expanding beneficial-ownership transparency and criminal-liability rules.
- **India:** the Prevention of Money Laundering Act, 2002 (enacted January 2003, in force from July 2005) is implemented by FIU-IND under the Ministry of Finance and has been amended repeatedly, most recently to widen the reporting regime to additional business categories.
- **South Africa:** the Financial Intelligence Centre Act, 2001 (FICA) is the core statute, amended in 2022 through the General Laws (Anti-Money Laundering and Combating Terrorism Financing) Amendment Act to correct deficiencies identified in FATF's 2021 mutual evaluation of the country.



THE WAY FORWARD

Delegates are encouraged to approach the agenda with a focus on practical, cooperative, and sustainable solutions to combat terrorist financing and transnational organized crime. Discussions should prioritize strengthening Financial Intelligence Units (FIUs), improving real-time information sharing, enhancing cross-border cooperation, and developing stronger mechanisms to trace, freeze, and recover illicit assets. Delegates should also consider emerging challenges such as cryptocurrencies, digital financial systems, shell companies, and informal money-transfer networks, while ensuring that proposed measures respect national sovereignty, privacy, and human rights. Ultimately, the committee should work toward a coordinated international framework that enables states to identify illicit financial flows early, disrupt criminal networks, and prevent financial systems from being exploited for terrorism and organized crime.

QUESTIONS A RESOLUTION MUST ANSWER (QARMA)

1. What type of financing or organized-crime activity is the resolution targeting?
2. What role should FIUs play, and what legal limits apply?
3. How will banks and other reporting entities identify risk?
4. How will beneficial ownership information be improved?
5. How will states cooperate across borders?
6. What technical systems and training are required?
7. How will digital assets and emerging technologies be addressed?
8. How will humanitarian organizations and legitimate civil society be protected?
9. What due-process and privacy safeguards are required?
10. How will asset freezes, seizures and confiscation work in practice?
11. How will progress be measured?



FOR FURTHER READING

1. UNODC — United Nations Convention against Transnational Organized Crime and its Protocols.
2. UNODC SHERLOC — legislation, case law and treaty resources.
3. UNODC goAML — FIU technology and financial-intelligence support.
4. International Convention for the Suppression of the Financing of Terrorism (1999).
5. Security Council resolution 2462 (2019) on countering terrorist financing.
6. Security Council 1267/1989/2253 sanctions regime.
7. FATF standards and guidance on terrorist financing.
8. United Nations Convention against Corruption (2003) and the UNODC/World Bank Stolen Asset Recovery (StAR) Initiative.
9. FATF, Comprehensive Update on Terrorist Financing Risks (July 2025).
10. Egmont Group of Financial Intelligence Units — membership standards and FIU-to-FIU cooperation principles.

UNODC UNTOC: <https://www.unodc.org/unodc/en/organized-crime/intro/UNTOC.html>

UNODC SHERLOC: <https://sherloc.unodc.org/cld/en/st/home.html>

UNODC goAML: <https://goaml.unodc.org/goaml/en/>

UNSC Resolution 2462: <https://main.un.org/securitycouncil/en/content/sres24622019>

1267 sanctions regime: <https://main.un.org/securitycouncil/en/sanctions/1267>

FATF terrorist financing: <https://www.fatf-gafi.org/en/publications/Fatfgeneral/combat-terrorist-financing.html>

UNODC UNCAC: <https://www.unodc.org/unodc/en/corruption/uncac.html>

World Bank/UNODC StAR Initiative: <https://star.worldbank.org/>

FATF Comprehensive Update on Terrorist Financing Risks: <https://www.fatf-gafi.org/en/publications/Methodsandtrends/comprehensive-update-terrorist-financing-risks-2025.html>

Egmont Group: <https://egmontgroup.org/>